

himself, he may decide to invest in common stocks. If and when he does so, he should follow certain definite rules for his own protection and benefit.

In the main, the average investor should consider buying only such common stocks as are listed on a major stock exchange. There are many good reasons for this.

Some unlisted stocks are worthless, bogus shares peddled by fly-by-night companies. Even when the unlisted stocks are legitimate the buyer often finds that he is "locked in"

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with his investment; it is frequently difficult to sell an unlisted security.

The person who buys or sells listed stocks can always be certain he is paying—or receiving—a price that is fair and bona fide to the extent that it has been set by buyers and sellers according to the law of supply and demand in a free market place. The same cannot always be said for unlisted stocks, which may be pegged at artificially high prices or, in some cases, have no value at all.

Common stocks should be purchased when their prices are low, not after they have risen to high levels during an upward bull-market spiral. Buy when everyone else is selling and hold on until everyone else is buying—this is more than just a catchy slogan. It is the very essence of successful investment.

History shows that the overall trend of stock prices—

like the overall trend of living costs, wages and almost everything else—is up. Naturally there have been and always will be dips, slumps, recessions and even depressions, but these are invariably followed by recoveries which carry most stock prices to new highs. Assuming that a stock and the company behind it are sound, an investor can hardly lose if he buys shares at the bottom and holds them until the inevitable upward cycle gets well under way.